



Summary of Start With Why

Original book by Simon Sinek

Why do some companies thrive while their competitors fail? According to business and leadership expert Simon Sinek, the key difference is the company's purpose (or lack thereof). In *Start With Why*, Sinek explains how to build an organization that puts its values at the center of its business. The core concept is simple and straightforward: **Great companies know *why* they're in business, and that mission guides everything they do.**

We'll start this guide by explaining why a core purpose or mission will make your company more successful than any product will. Then we'll discuss how you can use that "why" to guide everything your company does and every decision you make. Finally, we'll explore how you can stay focused on that mission as your company grows and evolves. Our commentary will compare Sinek's ideas with those in other influential business books, such as *Purple Cow* and *No Rules Rules*, and provide actionable steps to help you start creating a *why*-focused company.

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1-Page Summary

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[Sinek](#) is an author, motivational speaker, and organizational consultant best known for his insights on leadership and business strategy. He rose to prominence with his TEDx Talk, "[How Great Leaders Inspire Action](#)," which has received nearly 70 million views. He quickly followed that video with *Start With Why* (2009)—his first book and a global best seller.

We'll start this guide by explaining why a core purpose or mission will make your company more successful than any product will. Then we'll discuss how you can use that "why" to guide everything your company does and every decision you make. Finally, we'll explore how you can stay focused on that mission as your company grows and evolves.

Our commentary will compare and contrast Sinek's ideas with those in other influential business books, such as [Purple Cow](#) and [No Rules Rules](#). We'll also provide some actionable steps to help you start creating your own WHY-focused company.

Why to Start With WHY

Sinek begins by defining WHY, HOW, and WHAT in terms of a business. He also explains that your WHY must come first because it leads to your HOW and your WHAT.

The WHY: This is your company's overarching vision and core belief. It's the ultimate motivation behind your service or product, the mission you stand for, and the idea that gets you out of bed in the morning. In short, your WHY is the whole reason you're in business.

The HOW: HOW refers to the steps you must take to achieve your WHY—the practical, operational knowledge that will bring your vision to life.

(Shortform note: Sinek provides additional guidance in [Find Your Why](#). In that book, he suggests writing a [purpose statement](#): a single sentence that describes the impact you want your company to have (your WHY) and the core action of your business (the HOW). For example, the Walt Disney Company's mission statement includes "...to entertain, inform and inspire people around the globe (its impact) through the power of unparalleled storytelling (its core action)...".)

The WHAT: Finally, your WHAT is the specific product or service you're selling. It's the tangible part of your company and therefore the easiest to identify.

(Shortform note: You can test your WHAT using what Eric Ries ([The Lean Startup](#)) calls a [Minimum Viable Product \(MVP\)](#). An MVP is a bare-bones prototype of the product you want to sell, which you make as quickly and cheaply as possible. Note that an MVP is *not* a final product; it's just a means to collect data and feedback about your idea.)

In this section we'll explain how your company's WHY, HOW, and WHAT come together to create what Sinek calls the Golden Circle. We'll then explain how your central WHY inspires both your customers and your

employees. Finally, we'll briefly explore the opposite situation: what happens when a business starts with WHAT, and why Sinek says such businesses are doomed to failure.

The Golden Circle: WHY, HOW, and WHAT

Sinek introduces the Golden Circle model of business strategy. The Golden Circle looks like a target, where the WHY is the bull's-eye, the HOW is the middle ring, and the WHAT is the exterior ring.

When you start with WHY, you build your company's message from the inside out—your HOW and WHAT become extensions of your WHY. As a result, customers want to engage with your product because they believe in it. They become loyal to you and your company, which builds your brand and spreads your message.

Conversely, if you start with HOW or WHAT, you're simply building a hollow shell with no core belief or vision. In this case, your WHY becomes a shallow justification for your business rather than the actual reason it exists. Customers will recognize that you don't really believe in your mission, so you'll lose their trust (and their business).

The Pyramid of Goals

Sinek's explanation of WHY, HOW, and WHAT aligns with Angela Duckworth's [pyramid of goals](#) from *Grit*. They describe similar structures of purpose and action—Sinek from the perspective of business, and Duckworth from the perspective of your individual goals. Applying Duckworth's framework gives a more practical understanding of how your WHY translates into daily work.

In Duckworth's framework, your overarching purpose (what Sinek calls your WHY) is the tip of the pyramid. Beneath that are a number of major, long-term goals that support your purpose—the HOW that leads to the WHY. Those goals, in turn, are supported by numerous short-term goals that form the base of the pyramid. These short-term goals roughly correspond to WHAT: the specific actions you take to reach the goals that will accomplish your overall mission.

For example, let's say your main goal is to tell uplifting stories to people all over the world. Long-term goals to support that mission could include becoming a professional author and starting a publishing company to print and market interesting stories (including your own). Foundational short-term goals, then, would be to do a bit of writing and self-promotion every day to lay the groundwork for your long-term goals.

In a business context, an example of the tip of the pyramid might be to become the most customer-friendly online grocery store. Mid-level goals could be to deliver groceries faster than competitors and to expand coverage to underserved neighborhoods. Short-term goals could encompass training delivery staff to be more efficient and accepting cash payments to accommodate those with [no access to credit and debit cards](#).

WHY Inspires Your Customers

Sinek says that potential customers get inspired when a company shares its WHY. At that point, the company isn't selling a product, it's selling an *idea*. As a result, the company's communications are authentic and inspirational: **The company truly believes in its message, and people recognize that sincerity.**

Customers who share the company's vision—who have the same WHY—are then attracted to the company

and try its products or services. When the product is good, it establishes trust between the company and the consumer. That, in turn, brings in more customers and creates a repeatable cycle of success.

The outdoor clothing company [Patagonia](#) is a good example of this principle. Their mission statement spells out that they're in business to save our planet. That core mission shapes the company's whole business strategy, and people buy from Patagonia partly because they share its commitment to sustainability and environmental justice.

Counterpoint: People Want Simple Solutions to Basic Needs

While Sinek believes appealing to goals and values will get customers' attention, Donald Miller thinks it's more effective to address people's basic needs. In [Building a Storybrand](#), Miller says people [really only have two interests](#):

Interest 1: Meet basic survival needs. People have fundamental needs for nourishment, security, relationships, and meaning. Everything they do is an attempt to fulfill at least one of these needs.

Interest 2: Avoid complexity. The energy required to understand something complicated could be better spent on meeting those four basic needs, so people will quickly dismiss complex ideas and missions.

Therefore, to grab a customer's attention, Miller recommends presenting simple, survival-related messages about your company. For example, you might advertise how your product will save people money (security), or how it will help them connect with like-minded people (relationships).

WHY Inspires Your Team

Sinek says **great leaders create strong company cultures where everyone works toward the same goal**. They inspire employees to believe and pursue WHY instead of WHAT.

An inspired team provides many benefits, including:

Innovation: When employees understand the company's WHY, they feel a personal challenge to explore new ways to bring the WHY to life. For instance, Apple cofounder Steve Jobs didn't personally build the Mac or the iPod, but he gave his talented team the context around which to innovate and explore the options for making his company's WHY tangible.

(Shortform note: In [Humanocracy](#), business consultants Gary Hamel and Michele Zanini add that the most successful companies are those that promote innovation through [empowerment and accountability](#). Such companies encourage employees to find their own solutions to problems and their own ways to meet goals. However, those employees must also accept the consequences of their decisions, both positive and negative. So, if an innovation works well, the person who came up with it deserves recognition and perhaps a reward. If an innovation causes more harm than good, the person must take accountability for their mistake and do their best to repair the damage.)

Persistence: Sinek says that when employees have a clear sense of WHY, they're more likely to embrace failure and move through it. Failure becomes a step on the way to the goal rather than a catastrophic setback. Inspiration revolutionizes employees' perspective on their jobs. Employees start to see even their least favorite tasks as necessary to achieving their WHY.

(Shortform note: In a culture that promotes innovation, it's inevitable that some new initiatives will fail. It's

therefore important for employees to learn how to deal with failure beyond just owning up to it. In *Dare to Lead*, Brené Brown says you can [help employees develop failure resilience](#), or the ability to recover quickly when something goes wrong. This entails reassuring onboarding employees that they'll be supported—not penalized—when they fail. Then, train them to respond to failure rationally rather than emotionally, separating facts from feelings and assessing situations accurately, so that they can learn the right lessons from their mistakes.)

Trust: Inspired people realize that everyone—from the CEO down to the most entry-level worker—needs each other to reach their common goal. This means people will strive to be both trusting and trustworthy. Employees are less focused on self-gain, but instead do what's best for the mission and the organization as a whole. Inspired employees feel protected in their companies and by their leaders because they feel leadership makes decisions in service of a greater purpose rather than their own self-gain. That gives employees the confidence to take risks, explore, be creative, and push the company forward.

Sinek adds that building a trust-based organization starts with the hiring process. **When you have a strong WHY, you can find employees who are *also* passionate about your mission.** The trick here is to look beyond the résumé. Don't just hire skilled people whom you then have to motivate. Instead, hire motivated people who believe in your WHY, and inspire them; skills can be taught, passion cannot.

Build Upon the Foundation of Trust

Sinek's suggestions about building a trust-based organization closely mirror how former Netflix CEO Reed Hastings describes his approach to leadership. In *No Rules Rules*, Hastings writes that the best way to run a business is to hire the [best people you can get, at any cost](#). In this case, that means people who believe in your company's WHY—when you find someone who's genuinely passionate about your mission, do whatever it takes to get them on the team and keep them there.

However, while Sinek says this kind of trust will naturally lead to a healthy and inspired organization, Hastings urges you to keep actively building that kind of culture through constant feedback [at all levels of the company](#). Everyone from executives to entry-level workers should feel welcome to share their thoughts and offer suggestions. This will foster a culture of trust and respect in the workplace, as well as helping the company fulfill its mission more effectively (thereby building trust with customers as well).

Don't Start With WHAT

Sinek says that, unfortunately, most companies don't start with WHY; they start with WHAT. **As the most superficial part of a business, WHAT is the easiest to identify and communicate to potential customers.**

This is why so much messaging centers around things like product features, product popularity, and how successful the company is: The company is trying to convince potential customers that WHAT they're selling is good. However, even if everything the company says is true, such statements aren't inspirational, and this approach will ultimately fail.

(Shortform note: Sinek says your WHAT won't inspire people to buy from you without a strong WHY, but other marketing experts disagree. In *Purple Cow*, Seth Godin argues that products can succeed on their own, but only if they're [remarkable enough to catch people's attention](#). To be truly remarkable, a product must be both *unique* enough to stand out from the crowd and *practical* enough that people want to buy it. For

example, the Volkswagen Beetle's unique design got a lot of people talking about it (both positively and negatively). That talk served as free advertising which, combined with the car's reliability, led directly to the Beetle's success.)

WHAT Relies on Manipulation, Not Inspiration

When companies lack a WHY to inspire their customers, they must instead turn to what Sinek calls *manipulations* to sell their products. Manipulations are tactics that artificially influence customers to buy from your company or use its services. Some examples include pricing, promotions, fears, aspirations, peer pressure, and novelty.

Sinek adds that manipulations *do* work, but only in the short term—none of these methods will create loyal repeat customers. Therefore, **WHAT-focused companies have to constantly manipulate people into buying their products just to stay in business.** Furthermore, it's inevitable that such a company will eventually use the wrong tactic or that customers will start to see through its phony messaging. When that happens, sales will dry up and the business will collapse.

(Shortform note: Sinek says manipulations aren't effective, but some research suggests just the opposite: Manipulative marketing is so effective (and pervasive) that [it's affecting how people see the world](#). Such messaging often leverages fear, anger, and outrage to capture attention, which can increase individual stress levels and societal polarization over time. Manipulative marketing also often relies on exaggerated claims that lead to consumer disappointment. This can erode trust in the company, like Sinek says—alternatively, it can lead customers to think something is wrong with *them* rather than with the product, which contributes to issues ranging from anxiety to eating disorders.)

WHY Should Affect Everything You Do

To figure out your WHY, **take a step back and examine your motivation behind what you do.** It's more than just making a profit (or at least, it should be). It's the big, bold vision that motivates your company. Once you have your WHY, you can focus on sharing it effectively with the world.

The Golden Circle Megaphone

Sinek returns to the Golden Circle model and clarifies that it isn't really flat like a bull's-eye. Instead, it's a three-dimensional cone.

- WHY is the top of the cone—the narrowest and shortest ring, home to the organization's top leaders. They're the ones responsible for creating and sharing the WHY.
- HOW is the middle ring of the cone. These are the upper-level leaders who figure out how to execute the WHY.
- WHAT is the lowest and largest ring of the cone. This level contains all the employees responsible for interacting with customers, selling products and services, and manufacturing goods.

(Shortform note: Sinek's "megaphone" model relies on a traditional, hierarchical structure to spread your WHY throughout your company and beyond. In [Reinventing Organizations](#), business consultant Frederic Laloux envisions a different kind of structure—what he calls a [visionary organization](#)—that he argues is more efficient and better for employees' well-being. In a visionary organization, there is no rigid hierarchy. Instead, there's a fluid network of relationships between individuals or small teams who are all committed to the same *guiding purpose*. Laloux argues that with a clear purpose (the company's WHY) in mind, employees will freely cooperate with each other to reach decisions and distribute resources as needed.)

Sinek says that, in order to have a strong WHY, every ring of the company needs to be aligned with the organization's guiding vision. Therefore, the leaders in the WHY ring need to communicate clearly with those in the HOW ring. The HOWs then pass the message on to people in the WHAT ring and make sure the WHATs are able to share the organization's message with everyone else. **This creates the Golden Circle Megaphone, which amplifies your message in a way that inspires everyone it touches.**

(Shortform note: To keep everyone in your organization focused on the same goals and values, the authors of *CEO Excellence* advise you to choose a **cultural anchor**: a simple yet emotionally powerful idea that can serve as both a guide and a rallying cry. For example, if your company's mission is to repair the environment, your cultural anchor might be "sustainability"—keeping that one word in mind could remind people to always choose the most environmentally responsible options, think about the long-term impacts of business decisions, and so on.)

The Celery Test

Sinek also says to use your WHY as a filter for making good decisions. That's where The Celery Test comes in. Speaking broadly, the Celery Test is a way to help you whittle down all possible options into the few that support your WHY, no matter what that WHY is or how complicated it might be.

Let's say you're starting a health food store, and friends are giving you advice, telling you to offer products like Oreos, celery, and M&Ms. The advice-givers are successful, smart, trustworthy people, and they're genuinely trying to help you succeed—people love junk food, so it'll sell well! However, if you stock your store with everything those people tell you to, you'll waste money and offer products that ultimately harm your company. After all, nobody would trust a health food store that tries to sell them cookies and candy.

(Shortform note: It will be especially tempting to pursue options that don't align with your WHY when your company is struggling or has faced a major setback—such as selling junk food in hopes of quickly boosting your profits. However, difficult times are when it's *most* important to stick to your principles. In *You Win in the Locker Room First*, Jon Gordon and Mike Smith explain that **consistency is the basis of trust**: Your team (and, in this case, your customers) need to know they can trust you to stick to your WHY in the face of adversity. Conversely, if you abandon your principles, it barely matters whether you manage to overcome your current challenges; you'll have lost people's trust and probably doomed your company in the process.)

Conversely, **when you have a strong WHY, you can make decisions based on that idea**. If your WHY is to provide healthy, wholesome food, you know that cookies and candy aren't right for your store. On the other hand, celery *is* aligned with your mission, so you should stock it.

(Shortform note: The real value of the Celery Test may not be in the test itself—you probably already know that you should make decisions that support your business. Instead, its value may lie in the name. In *The Life Brief*, brand strategist Bonnie Wan says you should come up with a simple, memorable *hook* that you can think of to **quickly remember your goals**. "Celery Test" is just such a hook: It's a short phrase you can call to mind when you're facing a difficult or stressful decision, and it reminds you to stay focused on your WHY.)

Stay Focused on WHY

Creating a WHY for a company or organization requires a visionary, inspirational leader. Think of Steve Jobs, Bill Gates, and Sam Walton. Leaders such as these are the ones who provide the passion and motivation for the business, especially when it's first starting out.

However, one of the central problems of starting with WHY is, paradoxically, that it leads to success. Sinek explains that as a business grows, its inspirational leader becomes further and further removed from the company's daily operations. Those operations are instead handled by supervisors and managers whose roles keep them focused on WHAT. **When that happens, the organization can lose sight of its WHY.**

(Shortform note: Sinek asserts that businesses lose sight of their WHY because their leaders step back from daily operations, but there are other theories about why this happens. For instance, according to Jim Collins in *How the Mighty Fall*, companies lose focus and begin to decline [because of overconfidence](#). Collins says that when you're a market leader (dominant in your industry), it's easy to assume that everything you do will just work out—you think you're too big to fail. This overconfidence can lead to shortsighted, impulsive decisions that move a company away from the WHY and HOW that made it successful in the first place.)

The Split

When a successful company transforms from a WHY organization to a WHAT organization, it's what Sinek calls "the split." The split happens when the leadership of a company starts focusing too much on measurable metrics, like sales and financial growth. **The organization starts focusing on its WHAT, not its WHY, and stagnates as a result.** It becomes concerned with how to manipulate customers and boost metrics, rather than with inspirational new innovations that help fulfill its mission.

(Shortform note: As your company grows, you may be able to avoid this pitfall through the judicious use of delegation. In *How to Get Rich*, Felix Dennis explains that many people who start companies only stay minimally involved in the long term, since it's easier and more efficient to allow skilled managers to handle day-to-day operations. However, he adds that it's important to set clear guidelines about which actions or decisions [need your personal approval](#). In the context of *Start With Why*, this might mean that any high-level decisions about business strategy or messaging have to go through you. This strategy ensures that the company stays true to your vision and avoids manipulative advertising tactics that may damage trust.)

However, Sinek says the split doesn't have to happen. Here are strategies for keeping the focus on WHY as your company grows:

Make sure the WHY trickles down from the top to every single employee. This will keep everyone from executives to frontline workers focused on the ultimate goal. (Shortform note: Ensuring that your WHY trickles down from the top means starting with yourself. The authors of *CEO Excellence* emphasize that your employees will pay much more attention to what you do than to what you say, so it's crucial that you [embody your company's culture and mission in your daily actions](#). This is especially true when staying true to that mission involves some personal sacrifice or risk—for example, you might cut your own pay to fund a new initiative or cover losses.)

Measure only the metrics that count. When you're focused on your beliefs and use *those* to measure your success, your company will continue to start with WHY. For example, if your WHY is to protect the environment, you might measure success by your organization's carbon footprint for the past year rather than by its profits.

(Shortform note: Sinek suggests you only track metrics that relate to your WHY, but doesn't give much specific advice about how to do so. In *Measure What Matters*, venture capitalist John Doerr [provides an effective framework for this](#): Define your company's *objectives* (clear and specific goals), *key results* (metrics or outcomes that indicate you're on track to meet those goals), and *goal-setting cycle*—how frequently you adjust goals or set new ones based on the company's key results. There are a total of nine parts to Doerr's system, with the remaining six steps providing more details about how to apply this framework.)

Plan ahead for leadership transitions. Even the most visionary people can't lead forever, so make sure to line up new leaders who support the company's WHY just as strongly as current leadership does.

(Shortform note: Jim Collins and Jerry Porras emphasize the importance of planning for leadership transitions in *Built to Last*. They say that every leader must be committed to [continuing the succession plan](#)—in other words, as soon as a new leader takes over, they should start evaluating candidates to eventually take over from *them*. This continuous succession planning creates what the authors call a “leadership continuity loop,” which ensures that power can smoothly transition from one person to another whenever necessary.)

Introduction: Why Start With Why?

Certain companies and leaders inspire people around them to achieve amazing goals. They mobilize people beyond using personal incentives and rewards - instead, **they make people feel a sense of purpose and belonging to a community.**

These effective leaders Start With WHY - they communicate the purpose of what they are doing and the impact their work will have.

Here are three examples of leaders who put their WHY first.

Story 1: Samuel Pierpont Langley vs. The Wright Brothers

Samuel Pierpont Langley had a goal: he wanted to be the first man to build a working airplane. He seemed like the perfect man for the job: he was a senior officer at the Smithsonian Institution, had been a mathematics professor at Harvard, and had secured a \$50,000 grant from the War Department to help fuel his ambitions.

Already an established man, he sought fame and glory. He wanted to have the same level of fame as a Thomas Edison. He wanted the result more than the WHY itself.

A few hundred miles away, two brothers--Will and Orville Wright--had the same vision but none of the resources. They had no funding, no government connections, and no one on their team had a college education.

But they had one resource in spades: inspiration. True scientists at heart, they were obsessed about the physical problem of flight and balance, and they were determined to make it work. They endured countless failures because they believed the scientific problem was solvable. And they knew if they succeeded, it would transform the world. This WHY inspired their team to surmount every setback.

The Wrights' inspiration came from starting with WHY, which was much different from Langley's motivation. That WHY is what made them the first men to achieve manned flight on December 17, 1903—*not* Langley.

Indeed, once the Wright brothers succeeded, Langley quickly quit his flight dreams. Had he been inspired by the WHY, he would have been excited to improve on the technology. Instead, since he cared mainly about fame, the failure was humiliating, so he quit.

Story 2: Apple, Inc.

The 1960s and 1970s in America were characterized by common people rising up and challenging people in power. That was the case for Steve Wozniak and Steve Jobs, who were at the forefront of the technological revolution.

Although Apple is one of the most prominent technological companies today, Wozniak built the Apple I not to make money, but **to help the common man.** Wozniak believed that allowing average people to buy and own computers would level the playing field and give the little guy a leg up.

Jobs's role was to sell the computer Wozniak made. **Jobs was more than just a great salesman: he also believed that revolutionary ideas would change the world.**

That combined vision of accessibility, opportunity, and revolution became Wozniak and Jobs's WHY—and it led to incredible success. In their first year, Apple made \$1 million in revenue. This rose to \$10 million in their second year. And by year six, Apple had become a billion dollar business with 3,000 employees.

Wozniak and Jobs weren't the only people, or even the first people, participating in the computer revolution of the 1970s. **But Apple succeeded--and continues to succeed--because it starts with WHY.**

Story 3: Martin Luther King, Jr.

Most applications in *Start With Why* focus on business, but the principle applies broadly to any area of life.

Like Wozniak and Jobs, Dr. Martin Luther King Jr. wasn't the first or only person participating in the civil rights movement of the 1960s. What made Dr. King stand out was his ability to inspire others. He knew that his voice wouldn't be enough to change race relations in America. It would take thousands of average people to rally around a common cause.

His commitment to his ideals and his vision for a unified America is what brought 250,000 people to Washington D.C. to hear him deliver his "I Have a Dream" speech on August 28th, 1963. They weren't invited and the speech wasn't advertised. **Dr. King's vision inspired people to spread the word, build a movement, and change the nation.** And it all started with Dr. King's belief in his WHY.

The Goal: Inspiration, Motivation, Action

Those who lead aren't necessarily #1 in terms of market share, but they're the **companies or people who are setting the course for their industries**. Apple computers only make up 3 percent of the global home computing market share; however, Apple leads the technology industry because of its impact and vision. Other technology companies are trying to become Apple, not the other way around.

Great leaders:

- **Create a following of loyal people** who rally around their WHY.
- **Inspire people to act because they *want to***, not because they're responding to an outside incentive.
- **Belong to all different sectors** and aren't just business tycoons or politicians. Great leaders can come from any walk of life or industry.
- **Have exceptional amounts of influence** inside and outside of their industries.

Studies show that most people are disengaged from their job. They lack a sense of purpose. And this feeling often starts from the top. Instead, if *every* leader started with WHY, great results might happen:

- **People would love their jobs.** Right now, 80 percent of Americans say they don't have their "dream job." By embracing WHY, organizations create inspirational environments—which in turn lead to happy workers.
- **People would be more productive.** People with their dream jobs love going to work in the morning—which leads to more creativity, productiveness, and
- **People would just be happier.** When you're more fulfilled at work, you bring that joy home with you, too.
- **Companies and economies would grow stronger.** They would operate on trust, not fear, which would lead to growth.

Exercise: Learn to Identify the WHY

Now that you've had a brief introduction to why a person, movement, or company's WHY is important, let's think of some other examples.

We've seen three examples of people and companies that start with WHY, i.e. a core idea that motivates them and inspires others. Can you think of another example of a person, movement, or company that starts with WHY? What is their WHY?

Now let's think a little bit more about the WHY and its function. For the company or person you identified above, list at least two ways their WHY sets them apart from their competition. (Some reasons might be loyal employees, a world-changing vision, or radical authenticity.)

Chapter 1: Trust Your Intuition

Business runs on a series of decisions. Whether it's deciding what to sell, who to sell it to, or how to staff your organization, leaders have to make tons of decisions every day.

Many businesses and people rely on data to guide their decision making. We obsess over discovering details, thinking this will lead to better decisionmaking. We read books and journals, go to trade conferences, and ask our friends for more information.

But **in many situations, more data doesn't help make a better decision**. We're often tempted to think that a project didn't work because of some missing vital detail. But sometimes, we have the entire premise of our information gathering incorrect, or we start with a wrong critical assumption. In these cases, no amount of extra data would have helped us make the right decision.

Sinek uses an example to illustrate how easily we can make mistaken assumptions. Read this description of a leader and imagine who it is:

"A 43-year-old man was sworn in as the leader of his country on a cold January day. This man was raised Roman Catholic. His predecessor was a general who led his nation's armed forces in a war to defeat Germany."

Who are you picturing? It's tempting to think of John F. Kennedy. But in fact, it's January 1933, and the description is of Adolf Hitler.

The point is that it's easy to make wrong assumptions without knowing it. In these cases, collecting more data might not correct your decision-making, because you start with a flawed assumption about what's driving your business.

Trust Your Gut

What's the alternative to making decisions with data? **By trusting your gut**. In many situations, we have no relevant data or ignore the evidence, yet we make decisions using our intuition that turn out just fine.

When you start with WHY, you define a guiding direction that allows you to make proper decisions, even with incomplete data. Essentially, your WHY is the correct assumption about your business, and you avoid getting misled by false assumptions.

Sinek uses an analogy of a group of American executives who visited a Japanese car assembly line. The executives were confused by the door installation process. In the United States, a line worker would take a rubber mallet and tap the door on the edges to fit it perfectly into the car frame. In the Japanese manufacturing line, this step was missing. The American executives were perplexed.

The Japanese guide explained: their doors simply fit without manual adjustment, because they were designed to fit perfectly from the beginning. They engineered the right outcome from the beginning.

When you know WHY you're doing what you're doing, you're able to start making correct decisions from the outset.

Chapter 2: Manipulations Don't Work

All businesses need to motivate customers and employers to do something, whether that's buying a product or just performing a job.

There are **two ways we can motivate people to act: manipulation and inspiration.**

- **Manipulations use outside influences** to get people to buy a product or service. They use the "carrots and sticks" model of behavior reinforcement. While manipulations may produce short-term gains, they **don't create long-term loyalty.**
- **Inspiration causes a person to act from internal will**, not from outside influence. Commonly, these people are inspired by a company's WHY. Inspirations encourage loyalty, and loyalty leads to repeat business.

Six Common Manipulations (And Why They Fail)

Here are six common manipulation tactics and why they don't work.

#1: Price

Lower prices induce people to buy, so companies engage in price wars and sell at rock-bottom prices.

But price manipulation can be dangerous for a company. **When a customer becomes used to paying a low price, it can be nearly impossible to increase the cost of an item.**

This creates a market of commodities, where companies have to create more products to keep their revenue up. So while lowering prices drives business, it also makes it hard to earn a profit in the long run.

#2: Promotions

Promotions are short-term programs (often referred to as "value added" programs) that offer a **temporary incentive to make a purchase immediately.** Some common promotions include limited-time sales, cash-back offers, coupons, or mail-in rebates.

We've all experienced promotions, and they're a common manipulation for the car industry.

- When Japanese automakers started edging out their domestic counterparts, American car manufacturers like General Motors (GM) started massive incentive programs. But while they brought in customers and created a short-term solution, they also cut into GM's profit.
- GM had to discontinue some of their promotional programs, which caused their sales to decline. Customers had started to *expect* promotional pricing, and when it disappeared, they went back to buying from foreign auto companies.

To avoid the financial penalty of promotions, companies often design rebates to be difficult to cash in on. Nearly 40% of customers never get the rebate, since they don't follow the steps to get the refund. While this manipulation has a short-term financial advantage, it costs in long-term reputation and repeat business.

#3: Fear

Fear is the most powerful manipulation because it taps into our survival instinct.

It's also a common tactic: think of anti-drug advertisements or public service announcements that caution you to wear your seatbelt lest you die in an accident.

In the business world, **fear is often used to convince us that if we don't buy a particular service or product, something bad will happen to us.** (Shortform example: a good example of this are pharmaceutical advertisements, where people are told that not taking a certain drug will adversely affect their longevity or quality of life.)

While often nothing bad will *really* happen to you if you don't buy said product/service, fear makes customers *feel* like it will—which is an effective manipulation.

#4: Aspiration

Aspiration taps into people's desire to have more, do more, or be better. They're most effective if the people they target are insecure or worry about achieving their goals.

Aspiration sounds a bit like inspiration, but they're different things. For example, aspiration gets people to buy gym passes, but it takes inspiration to get a person to *use* them. That's why gym memberships rise by 12 percent in January, but only a fraction of those people ever use them.

The biggest issue with aspirations as a manipulation tactic is that they create a desire for short-term satisfaction when only long-term solutions work. Aspirations might get people to act for a little while, but they fail to maintain their momentum.

#5: Peer Pressure

When a company claims that a majority of people or experts are using their product, they're using social pressure--also known as peer pressure--as a manipulation. That's why advertisements often make claims like "four out of five experts agree" or that "millions of satisfied customers" believe their product is the best!

Peer pressure works because it plays into our deep-seated fear that other people might know something we don't. **In other words, by invoking the majority, peer pressure makes us worry that our decisions are wrong.**

That's why celebrity endorsements can be so effective. When a celebrity talks about a product, it makes people think the product is good, or that buying that product will make us more like the celebrity endorser. Think of examples like Michael Jordan endorsing Gatorade and Nike, or Tiger Woods endorsing everything from Titleist golf balls to GM cars.

#6: Novelty

Novelty — defined as being "new" or "unusual" — is often marketed as "innovation."

But novelty and innovation are very different from one another.

- Novelty is merely introducing something new and will eventually fade into the past. Novelty is more a gimmick than a real improvement.
- Innovation is change that is valuable and persists in the industry well into the future. It is real reinvention, in ways that matter to customers in the long-term.

Ultimately, **novelty tricks consumers into thinking that a product or service is innovative when it's not.**

We can see the difference between novelty and innovation when we look at two "innovative" phones: the

Motorola RAZR and the Apple iPhone.

- The RAZR was billed as “innovative” and future of mobile phones because it featured innovations like “aircraft-grade aluminum” and a “chemically-etched keypad.” While they sold a lot of phones initially, within four years, Motorola stock was trading at 50 percent of its former value. What was supposed to be innovation was actually novelty - it didn’t last.
- The iPhone was marketed much like the RAZR: as the future of mobile phones. But unlike the RAZR, the iPhone really *was* innovative, and, Sinek claims, not because of the touch screen and removing buttons. The iPhone changed how the phone industry worked by telling phone manufacturers what their phone would do (rather than phone manufacturers deciding what features they’d support). This was a lasting change that continues today.

Whenever companies introduce multiple minor variants of a product, that’s a sign that they’re just practicing novelty instead of innovation, like Colgate’s thirty-two types of toothpaste.

Manipulations Only Create Short-Term Gains

Manipulations are common because they work in the short term. We live in a world where we value quick results.

As a result, manipulation tactics have become pervasive. Most companies use manipulations to get consumers to choose their product or service. And it goes beyond business: manipulations are commonly used in politics, too.

In the end, however, manipulations only lead to short-term profits. **That’s because manipulations lead to transactions, not loyalty.** Just like the mallets and car doors from Chapter 1, manipulations are a way companies can slap a bandage on a deeper problem. Because the results are temporary, companies have to keep using manipulations to be successful.

Why Manipulations Are Dangerous

Manipulations are an excellent tactic for transactional businesses where you only do business with a customer once.

But for any businesses that want lasting relationships with repeat customers, manipulations don’t help.

In fact, some manipulations can even harm a company’s ability to weather downturns in the economy. For example, the American motor industry--which embraces manipulations--found itself struggling in the economic downturn of 2008.

- Their manipulations might have earned them cash in the short-term, but it failed to build customer loyalty. Loyal customers float business through hard times, and, without them, the American motor industry crashed.
- Thus, manipulations ended up costing the industry more money long-term than it earned in the short term.

Ultimately, manipulations create stress for buyers *and* for sellers.

- **For buyers, manipulations make it hard to know what product to buy.** They're inundated with so many products and messages that it's nearly impossible to cut through the noise—which in turn, stresses buyers out. .
- **For sellers, the stress comes from feeling pressure to stand out in such a competitive landscape.** Inspiring customers and creating loyalty takes time, whereas manipulations give quick, temporary results. But as we talked about earlier, those results often come at the cost of either a) your profit margins or b) your repeat customer base. Thus, companies find themselves stressing over finding new customers, making new products, or both.

Manipulations are dangerous because their short-term effectiveness has made them the norm. As a result, companies feel pressured to do what their competition is doing. In other words, if the competition is using manipulations, then it's more likely that your company will, too.

The economic crisis of 2008 is an extreme example of the danger of manipulations.

- **Banks used manipulations both internally and externally.** Internally, manipulations like cash bonuses encouraged poor decision making. Externally, manipulations like aspirations led people to take on bigger loans than they could afford.
- **These tactics led to short-term financial gains but long-term devastation.** Manipulations led to a series of ill-informed short-term decisions, which stacked up like a house of cards. When the house of cards imploded, it took the whole American economy down with it.

What's the alternative to manipulation? Inspire your customers with your WHY.

Chapter 3: The Golden Circle

Chapter 3 introduces the core concept of The Golden Circle, one of the fundamental concepts of the book. **In essence, the Golden Circle is the embodiment of how you start with WHY.**

Defining The Golden Circle

The Golden Circle visualizes the structure of an organization and looks like a bullseye target with three rings. **The bullseye at the center is the WHY, the next ring out is the HOW, and the largest ring is the WHAT.** When making decisions or communicating, you begin at the center with the WHY, then migrate out to the HOW, then finally the WHAT.



Let's define those terms in reverse order:

- **WHAT:** this is the product a company sells, the service a company offers, or what a particular employee does. The WHAT is what most companies talk about the most. It's easy to understand but superficial.
- **HOW:** this describes HOW the company accomplishes the WHAT. Often, this is considered a company's "differentiating proprietary process" or "unique value proposition."
- **WHY:** this boils down to the motivation behind why companies or people do what they do. This is often a **purpose, cause, or belief**. *Why* does Microsoft make software, for example? Or why does a particular politician want to run for office? Few people or organizations can explain WHY they do what they do—mainly because it's the hardest to articulate.

When it comes to communication, people tend to want to work from the outside in because it's easier to explain your WHAT than it is to explain your WHY. Often, companies even stay at the outside layers, focusing only on the WHAT instead of the HOW or the WHY.

In contrast, what all great companies have in common is that they work The Golden Circle in reverse: **they**

start with the bullseye (WHY) and work their way outward.

Apple and Golden Circle Marketing

Apple consistently uses The Golden Circle correctly. They begin with WHY, then figure out HOW they'll achieve their vision and WHAT they need to do to get there.

This is clear in Apple's marketing. Think about how strange it would sound if Apple took the typical WHAT to HOW to WHY marketing approach. It might sound something like this:

"We make good computers. Our computers are easy to use, elegant, and well designed. You should buy one."

Now, compare that to the **start with WHY approach that Apple actually uses to inspire customers:**

"We think differently. We want to challenge the status quo. The way we do this is by making products that are easy to use, elegant, and well designed. And we just happen to make computers as our products. You should buy one."

The difference is that **Apple's products are a result of their WHY**. Their MacBooks, iPods, and iPhones are just a physical representation of the company's core beliefs. Therefore, when someone buys an Apple product, they're not just buying the WHAT: they're buying the WHY, too.

Put another way, people don't actually want to buy stuff. They want to buy ideas. They want to join movements. Putting your WHY first ensures that your ideas, not your product, are what make you stand out from the crowd.

It's not that Apple's products don't matter - quality matters, of course. But the connection between a strong WHY and a high-quality WHAT becomes an unstoppable combination. Lots of companies make arguably equally high-quality products - but people don't feel the same emotion and inspiration with a Dell laptop or a Samsung phone. Apple is unique in the strength of people's emotional and inspirational connection to their mission - and this starts with WHY.

Apple and Golden Circle Decisions

Beyond marketing to consumers, all of Apple's decisions, from product design to its advertising campaigns, put the WHY first.

Here are three examples of how Apple has done this over the past four decades:

1. The Mac Computer

The original Apple computer was designed to put accessible, easy-to-use computers in people's homes. This broke up the monopoly that big businesses had on computing power, and it put opportunity back in the hands of the common man.

2. iTunes

The record industry had an iron grip on how people could listen to music—until Apple came along with the iPod and iTunes. By marketing the iPod as a device that put thousands of songs in your pocket, they focused on the WHY. (Note how they didn't define the iPod as the WHAT of being an 8GB MP3 player.)

Further, with iTunes, they challenged the music industry's strong grip on how people consumed music, letting them purchase songs digitally instead of whole physical albums. This fit Apple's WHY of challenging the status quo and upsetting old power dynamics to empower consumers.

3. Apple Vs. Apple, Inc.

In 2007, Apple changed its legal name from Apple Computer, Inc. to Apple Inc. Apple had become an “ideas” company--a WHY company--and wanted its legal name to reflect its philosophy.

The Results of Apple's WHY

Making every decision with their WHY in mind has put Apple ahead of their competitors both in the tech industry and beyond.

Would it feel right to stand six hours in line for a new Dell computer? No - because the many other computer manufacturers have focused on the WHAT. When you buy a WHAT product, you don't feel like you personally identify with the company's mission (if it even has one). It's a simple transaction, and one computer is just about as good as another.

In contrast, people who buy Apple's WHY will choose Apple products over competitors', because they are inspired. They feel they are part of the mission.

WHY Isn't About “Being Better”

Which is better, Mac or PC? Everyone has an opinion, and the debate can get heated.

But when you use The Golden Circle, winning a debate like that one doesn't matter.

Depending on the customer, “best” is subjective. Even though Apple is an industry leader, their **products are right only for those people who share Apple's WHY**. Other people may align with different missions and have different needs. And that's okay. It's not about a Mac or a PC being “better” or “worse.” It's about making sure the right people who align with your WHY are using your product.

Starting With WHY Creates Lasting Success

Working The Golden Circle from the inside out - starting with WHY - **provides a path to long-term success**. It provides a mix of innovation and flexibility that allows a company to adapt to changing circumstances.

Take railroads, for example. In the late 19th century, railroads were some of the biggest companies in America. Their early innovations changed the landscape of the country.

But over time, railroads lost sight of their WHY and instead began focusing on WHAT they were. Instead of defining a WHY of “moving people affordably,” they focused on the WHAT of “railroads and trains.”

So when the airplane was introduced, many of those big railroad companies went out of business. If they'd kept sight of their WHY, the outcome might have been different. They might have realized technology was changing and switched to a better WHAT to meet their WHY.

This example demonstrates one of the dangers of using The Golden Circle from the outside in. When you lead with WHAT, you become vulnerable to new technologies and trends. It makes it hard for people to see why your products or services have value in the face of change.

This is true for newspapers, publishing, even television. **Starting with WHY does more than help you adapt--it helps you innovate, which is the key to lasting success.**

Two other reasons that starting with WHY lends to long-term success:

- A WHY is defensible because it generates loyalty. A competitor could copy your WHAT and put out a similar product, but it can't easily replicate your WHY and rip away your loyal followers.
- If you don't have a WHY, you become a commodity producing a WHAT, and you're forced to compete on WHAT factors like price, features, or quality. It becomes hard to succeed on these fronts in the long term.

Exercise: Apply The Golden Circle to Your Organization

Apply The Golden Circle to what you do. Start with WHY, go to HOW, then to WHAT.

Think about your business, organization, or your personal work. What is your WHY?

What is the HOW? How do you achieve your WHY?

Finally, what is the WHAT? What are you actually producing that's of value to others? Does this match your HOW and your WHY?

Now, take a step back. Do you feel WHY is the center of how your organization thinks about work, or how you think about your work? What changes could you make to put WHY first?

Chapter 4: The Golden Circle's Biological Foundation

The reason Golden Circle works has roots in human biology. **Humans want to belong, and the need is so powerful that we will often put incredible effort and money into achieving that feeling.**

Organizations that start with WHY clearly define who they are and what they stand for, and as a result, their products or services come to represent those beliefs.

When those beliefs align with our own, it creates a sense of belonging and kinship. **Buying their products makes us feel like we belong in the same group as other people who buy the same things and believe in the same ideals.**

- For example, Apple's "**I'm a Mac, and I'm a PC**" marketing put their beliefs front and center. They made it clear what type of person belongs in the Apple community (they're young, laid back, and question the system.)
- In response, Microsoft launched their "**I'm a PC**" campaign, which showed people from all walks of life. This makes sense given that 95 percent of all computers are powered by Microsoft's software.

Like we mentioned in Chapter 3, it's not about Mac or PC being better or worse. Instead, each company's WHY appeals to different types of people.

Because we *want* to belong, we're attracted to companies that communicate what they believe, and we bond with other people over the products and ideas that we value.

Trusting Your Gut

The reason The Golden Circle works is because the different levels (WHAT, HOW, and WHY) correspond with different levels of the brain: specifically, the neocortex and the limbic brain.

- **The neocortex** is our analytical center that controls rational thought and language. This corresponds to the WHAT and HOW level of The Golden Circle.
- **The limbic brain** controls our feelings, like trust and loyalty, but it doesn't have any capacity for language. It also handles our decision-making processes. This corresponds to the HOW and WHY levels of The Golden Circle.

Because the limbic brain doesn't use language, it makes **it hard for us to put our feelings into words. It's why we hard time talking about the decisions we make.** When a choice "feels" right, when we make a decision based on a "gut feeling," it's because we're using our limbic brain. Once the decision gets made, our neocortex swoops in to try and verbally articulate the way we feel.

- For instance, many may describe their romantic relationship with "she completes me" or "it feels right." These statements don't make rational sense, but they feel inexplicably true.

How We Make Decisions

To put it simply: decisions start in our limbic brain, and then we articulate and rationalize them using our neocortex. The WHY is how you win a customer's "heart," and afterward the WHAT and HOW is how you win their "mind."

When you start with why, you target the emotional gut part of a person's brain. While making decisions by

gut may sound wishy-washy, the limbic brain is actually powerful. Studies suggest **our gut instinct leads to better, faster decision making**. That's because when we use our neocortex to make decisions, we often end up overthinking them. We try to rationalize our decisions, which often leads to poorer choices.

Let's compare rational and gut decision making with example scenarios:

- **A Rational Decision:** Imagine you're buying a new television. The sales clerk gives you all the rational, data-driven reasons you should buy a certain model, so you do. But later that day, you run into a friend who has a different television that he loves. Now, you're not sure whether you made the right decision at all. That's because you made a choice based only on your neocortex.
- **A Gut Decision:** For brands that have strong WHYS, people don't need to articulate their reasons for buying a product. The WHY becomes the reason for the buy. The brand resonates with you emotionally, which makes you confident in your purchase choice. This is the case for people who are passionate Mac users. Their decision to buy a Mac originates in their limbic brain, not their neocortex.

So while we can make decisions with our rational brains only, we are often less confident in our choices. That happens when a company sells us on their WHAT.

But WHY connects to a deep, emotional part of ourselves. **WHY leads people to make decisions based on their gut instinct, which in turn helps them feel more confident and satisfied with your choice.**

Gut Decisions are Hard to Explain

Because gut decisions are hard to articulate, **when your customers explain their decisions, they point to factors that might be misleading for you to act on.**

For example, people explaining why they bought a Mac may point to the screen resolution and the features, but really it was a gut, emotional decision based around Apple's mission.

This is a red herring for companies - **just because people explain their decisions in terms of features doesn't mean giving more features will sway them.** In fact, often asking people what they want is misleading. As Henry Ford said, "if I'd asked people what they wanted, they would have said a faster horse." This is the pitfall that WHAT companies compete on, and they commoditize their products by focusing on easy-to-replicate features.

Example: Laundry Detergent

Laundry detergent companies spent years competing on how clean they can get your clothes. Market research showed that people said they were looking for the detergent for the cleanest clothes. Built on this research, brands competed on how well they actually cleaned clothes, experimenting with proprietary additives.

But what people *actually* wanted was different. Later research showed that people weren't interested in the detergent that literally got their clothes the cleanest. **Instead, they wanted a product that made clothes *feel* the cleanest.** The first action after taking laundry out of the dryer wasn't to inspect it for cleanliness, it was to smell it. The *feeling* is stronger than the *fact*.

This revelation changed the grounds of competition for laundry detergent.

When you start with WHY, you don't have to have the best, cheapest, most wonderful product. **The sense of belonging is a powerful driver that can overcome minor differences in quality.**

Loyal customers stick with companies, even when their products are more expensive than their competition (Apple) or take a long time to deliver (Harley-Davidson).

Leading From the Gut

Great leaders and organizations start by winning people's hearts, then appeal to their minds. They begin with WHY--the emotional, ideological draw--*then* focus on the WHAT and the HOW.

This can lead to counter-intuitive approaches. Visionaries see what most of us don't see and have no idea to ask for. But when we see it, we know we want it.

For example, John F. Kennedy assumed the office of United States President during tough times. But instead of focusing on WHAT he planned to do, he famously started with WHY: serving the country.

Similarly, Southwest Airlines entered a crowded market where air travel was a luxury that was inaccessible to normal people. Instead of charging more for their tickets to make a profit, they decided to charge *less*. That's because affordable, accessible air travel is their WHY.

Exercise: Trust Your Gut

When has your gut triumphed over your rational brain?

Think about a time when your gut instinct triumphed over the more logical, rational choice when making a purchase. What was the outcome? How would the outcome have changed if you went with your neocortex (or rational brain) instead?

If you tend to overthink things, what is stopping you from listening to your gut? What can you do to gain more confidence in what your intuition tells you?

Chapter 5: The Three Principles of The Golden Circle

The Golden Circle is a powerful tool that helps you run inspirational companies or become a great leader. But The Golden Circle only works if all three elements--the WHY, HOW, and WHAT--are in balance and used in the right order.

Let's start by **talking more about three key principles of the Golden Circle.**

Element #1: Clarity in WHY

Starting with WHY means that leaders need to be able to clearly articulate why they do what they do.

Without a WHY, you have to resort to manipulations to get people to engage with your products or services, which only leads to short-term results.

Leaders who start with WHY get people to follow them willingly instead.

Element #2: Discipline in HOW

Discipline kicks in during the HOW phase. (Remember that HOW applies to the values, principles, and operational structures that help you achieve your WHY.)

HOW you work lets you make decisions that support your WHY, like hiring the right people, creating purposeful policies, and finding partners that support your vision.

But in order to do that, you have to have discipline. You need to hold every team member accountable to the principles and never veer from your direction. Counter-intuitively, **discovering the WHY is relatively easy - it's living it, day in and day out, with discipline, that's the hard part.**

Many companies espouse their values in the form of nouns - "Honesty. Customer Service. Innovation." But effective discipline comes from articulating your values as **verbs**. Instead of "Integrity," say "Do the right thing." Instead of "Innovation," say "Ask how everyone else is wrong."

These verbs help people understand how they should act, which in turn, helps them make better decisions in pursuit of the WHY.

Element #3: Consistency in WHAT

If a WHY is a belief and a HOW is an action, the WHAT is the product. It's what you produce and everything you say and do, including your marketing and hiring practices.

To maintain the public's belief in your WHY, **your WHAT needs needs to be consistent with how you live the WHY**. All of your actions--from the products you put on the market to the way you treat your employees--should support your WHY. That level of consistency proves to outsiders looking in that you *actually* believe in your WHY.

If you betray your WHY and are inconsistent in how you follow your principles, people won't know what you stand for. If you say your company questions the status quo as a WHY, but you put out me-too products

indistinguishable from the rest of the market, you sound inauthentic.

Authenticity is also important when it comes to sales because it helps people believe in what they're selling. By being authentic and honest (and appealing to the limbic brain), you can build customer relationships that are based on trust, not manipulation. Consistency and the authenticity that comes from it create long-lasting relationships and long-term success.

Authenticity In Action: Apple Versus Dell

Apple believed--and continues to believe--that its products like the Mac, iPod, and iTunes challenge the status quo. As a result, people understand WHY Apple does what it does, which is what makes their products authentic.

To compete with Apple, Dell released its own MP3 players and PDAs. But Dell doesn't communicate its WHY, which means that consumers have no idea why Dell made those products other than to compete with Apple. This translates to a lack of authenticity, which makes entering a new market segment more expensive and harder.

The takeaways from this example are 1) that authenticity comes from having a clear WHY that you believe in, 2) authenticity is important to consumers, and 3) cultivating authenticity is important to sustained success.

Using The Golden Circle In the Correct Order

Once you have clarity in WHY, discipline in WHAT, and consistency in HOW, it's time to make sure you deploy them in the right order.

Remember: great leaders and organizations work The Golden Circle from the inside out, not from the outside in. That means you have to start with WHY, which provides the framework for the HOW and the WHAT.

By keeping each step in order, you inspire people by connecting with who they are on a much deeper level.

This creates reciprocity. Because you start with WHY, your product (or WHAT) becomes a representation of your beliefs. Customers that share your beliefs will be drawn to your products, which in turn serve as an outward representation of their own WHY, too. Starting with WHY turns people who might say "*I think* this is the right decision," into those who say "*I know* this is the right decision."

And then you're able to create a situation where people are able to verbalize their rationale for making a gut decision. This is powerful, and it's also an example of balance in action.

The Dating Analogy

As a thought experiment, consider Tom, a man going on a date. When he sits down, he starts with his WHAT: "I'm a really successful person. I own a BMW and my best friends are all CEOs or models. I'm rich and I can buy you lots of nice things."

Obviously, Tom sounds obnoxious, the kind of person who wouldn't get a second date. **Surprisingly, companies communicate exactly like this:** "Our product has the best features. Our customers are the biggest companies in the world. We're making a lot of money, and you should buy our product too."

Now think about Tom starting with WHY: “What gets me out of bed every morning is making an impact on people by solving their problems. It’s the best feeling in the world. I’m also super lucky to get career success doing what I love. I’ve gotten to know lots of interesting people and I’m fortunate to be able to buy nice things.”

Instantly, by starting with WHY, then putting the WHAT after, Tom becomes less obnoxious.

Likewise, **companies should message the same way**: “We come to work everyday to solve our customers’ problems. This is the best feeling in the world. And this is good for business. We’re very successful, and we have the world’s biggest companies as our customers. Our company has never been doing better.”

Case Study: Southwest Airlines

Southwest Airlines was founded by Herb Kelleher and Rollin King in 1967 in order to make low-cost air travel available to everyone. At the time, only 15 percent of Americans traveled by air because it was so expensive.

Here’s how they used The Golden Circle in order:

- **WHY:** Southwest wanted to make air travel accessible to everyone, no matter your profession, income, or walk of life. They wanted to make air travel available to normal, everyday people and give them the freedom to travel.
- **HOW:** To do this, they needed to remove barriers of access. They decided that buying a ticket and flying had to be easy, affordable, and fun. This would make air travel accessible to the other 85%. Additionally, Southwest became disciplined about embodying these ideas to every single aspect of the business - their hiring practices, their marketing, their culture, and their aircraft operations.
- **WHAT:** All of this boiled down to selling affordable plane tickets to their customers.

The WHY, HOW, and WHAT all came together in a balanced mix, which led to amazing customer loyalty.

People heard Southwest’s message loud and clear, saw that the company supported their WHY in every aspect of the business, which created authenticity and trust. It came through in their tagline: “you are now free to move about the country.”

That’s the reason competitor airlines like Ted and Song--which were created by United Airlines and Delta to compete with Southwest--ultimately failed within four years of launching. **While it was clear their WHAT was to provide cheap flights, they lacked a WHY.** It felt inauthentic - these were just old airlines trying to grab a share of the market. As a result, they became commodities competing on price, rather than inspiring loyal customers.

Embracing the three principles of The Golden Circle--and keeping them balanced--has had a hugely positive impact on Southwest Airlines’ business. Now, people choose to fly Southwest for more than just their low fares. **They choose Southwest because it’s a company that inspires them.** Southwest’s WHY is clear, which means even when their routes and prices aren’t the best, people still choose to fly them over the competition.

Exercise: Operate with Discipline and Consistency

Is your business operating with a balanced circle in mind?

Now that you know your organization's WHY, do you think your company *clearly* and *consistently* articulates its WHY? Why or why not?

It takes *discipline* to start with WHY, which involves articulating your values as verbs or actions. List two of your organization's values below, then rephrase them as actions. (For example, if one of your company's' values is "honesty," you can rephrase it as "do the right thing.")

When has your organization contradicted its own WHY? What caused the departure from what the organization stands for?

Chapter 6: Establish Trust

Trust is a gut feeling--it exists in the limbic brain and can't be rationalized. That's why we trust certain companies even when things go wrong, and mistrust other companies even though they do everything right.

And when people trust a leader or organization, they place a higher value on it. Sinek defines value as "the transference of trust," meaning value is the result of people trusting in you, your product, or your company.

Consequently, you can't rationally convince someone to trust you. **You have to earn that trust by showing them that you share their values and beliefs.** That happens when you clearly communicate your WHY. Once people trust you, they will follow you willingly.

Trust and Culture Go Together

Trust is important because it's also the foundational building block of culture. Culture emerges when **a group of people who believe and value the same things unite around those shared ideals.** When we are around people who think like us, we start to trust them.

On an individual level, we form communities with people who share similar beliefs, values, and ideals. In other words, we form communities with people who share our WHY.

Consequently, those with strong WHYS tend to attract like-minded people and create a sense of belonging. That's why companies with strong WHYS tend to have strong cultures and high levels of trust, both internally and externally.

In turn, **being in a community of people who are there for the same reasons builds trust.** We believe that someone who shares our beliefs is also more likely to have our back and not take advantage of us.

- Consider hiring a babysitter. You don't know much about this person, other than that she's from the same community and thus might have the same values as you. Yet you trust this near-stranger with taking care of people dearest to you - your children.

In turn, **having trust allows people to take risks.**

- If you didn't trust your babysitter, you wouldn't take the risk of leaving your house to have a night out.
- Similarly, in the workplace, if you didn't trust your leadership or team to take care of you if you took a risk and failed, you wouldn't take that risk.
- Without trust, people will worry about protecting themselves, which is the cause of office politics.

Trust and the Limbic Brain

The feeling of trust is located in the limbic brain (our emotional center).

That's why personal recommendations from people we trust hold so much power: it taps into our limbic brain. When we trust the person, we're more likely to follow their recommendations, even if they seem illogical.

Trust beats out rationality. The trick to inspirational marketing, then, is to activate networks of trusted

people to talk about you and your company. (More on trust and marketing in later chapters.)

Trusting Your Leadership

When a group of people with similar beliefs have a cause, challenge, or goal to chase, this creates a strong sense of teamwork. This gives employees something to work *toward*, which is how great ideas happen.

This is very different from average companies, who just give people things to work *on*. In these situations, people do their jobs and nothing more.

It's the job of a great leader to create an environment where inspired work can happen.

Great leaders create strong company cultures where everyone works toward the same goal. They inspire employees to believe and pursue WHY instead of WHAT.

There's a parable of a man who comes across three bricklayers working. He asks the first bricklayer what he's doing; the first bricklayer grumbles, "I'm laying bricks." He asks the second the same question and gets the reply, "I'm making money." Lastly, he asks the third bricklayer, who replies in awe, "I'm building a cathedral."

All three men were doing the same work. The first two men had a job. The third had a calling.

By starting with WHY, you give your employees a cathedral.

An inspired team shows many benefits, including:

- **Creating space for innovation.**
 - When employees understand the company's WHY, they feel a personal challenge to explore new ways to bring the WHY to life. Steve Jobs didn't personally build the Mac or the iPod, but he gave his talented team the context around which to innovate and explore the options for bringing the WHY to life.
- **Ignoring competition.**
 - When a company is only concerned with the competition, they get into a commodities race. They make small tweaks to features (like the Motorola RAZR we mentioned in Chapter 2) in response to other companies, instead of innovating.
 - When a team focuses on their unique WHY, they can put on blinders and build things that align with their mission, regardless of what others are doing.
- **Persisting through failure and hard work.**
 - When employees have a clear sense of WHY, they're more likely to embrace and move through failure. Failure becomes a step on the way to the goal rather than a catastrophic setback.
 - Inspiration revolutionizes employees' perspective on their jobs. Employees start to see even their least favorite tasks as necessary to achieving their WHY.
- **Trust in the team.**
 - Inspired people realize that everyone--from the CEO down to the most entry-level worker--

- needs each other to reach their common goal.
- Employees are less focused on self-gain, but instead do what's best for the mission and the organization as a whole.
- **Trust in leadership.**
 - Inspired employees feel protected in their companies and by their leaders, because they feel leadership make decisions in service of a greater purpose rather than their own self-gain. That gives employees the confidence to take risks, explore, be creative, and push the company forward.

Building Your Tribe on Inspiration

Building an organization that's based on trust starts with the hiring process. **When you have a strong WHY, you can find employees who are *also* passionate about your mission.**

The trick to building a tribe based on inspiration is to look beyond a résumé. Don't just hire skilled people that you then have to motivate. Instead, hire motivated people who believe in your WHY, and inspire them.

Hiring the right people often has a flywheel effect - the more people you bring on who fit your culture, the easier it is to recruit people who also fit the culture, and so on.

Here are two real-world examples that show the effects of hiring employees who believe in your WHY:

The Shackleton Expedition

In the 20th century, Ernest Shackleton set out to cross the Antarctic. He put out an ad for this unprecedented journey: "Men wanted for hazardous journey. Small wages, bitter cold, long months of complete darkness, constant danger, safe return doubtful. Honour and recognition in case of success." This attracted only people who loved the WHY and could endure the pain.

Shackleton didn't ask for his WHAT: "Men needed for adventure. 5 years experience required. Must know how to maintain ship and pitch tents."

He and his team of twenty-seven men ended up stranded in the Antarctic for ten months when their ship, the *Endurance*, sank. Remarkably, no one died, because Shackleton hired inspired people.

Southwest Flight Attendants

In the 1970s, Southwest changed their flight attendant uniform to hot pants and go-go boots, and the only people who applied for the job were cheerleaders and majorettes.

That ended up being a perfect alignment to Southwest's WHY, since they were also cheery and uplifting. It was a perfect fit with Southwest's commitment to fun. As a result, Southwest started actively recruiting majorettes and cheerleaders to be flight attendants.

Case Study: Trust and Continental Airlines

Continental Airlines was largely considered one of the worst airlines in the United States in the 1980s. Without a clear WHY, the company made decisions that were expedient, not correct. That led to employee exploitation, which destroyed employees' trust in their company and leadership. In turn, employees

mistreated the customers. Continental Airlines' company culture was miserable, and the airline was in a downward spiral.

When Gordon Bethune became CEO in 1994, the company had just lost \$600 million and ranked last in every measurable metric.

Bethune could see that the company had no culture and no common vision. So he decided to fix Continental by creating trust between the company and its employees. Some of the ways he did this were:

- Creating an open-door policy for every Continental employee and giving them access to the company's headquarters (which they previously did not have)
- Only hiring team players—and letting go employees who weren't interested in his vision
- Giving every single employee a bonus each month that Continental had one of the top five highest on-time percentages
- Creating a family, "we're in this together" atmosphere for employees, which trickled down to customers

The year after Bethune took the reins, Continental posted a \$250 million profit. And under Bethune's leadership, **Continental would go from being one of the worst airlines in the United States to one of the best.**

And it all happened because Bethune focused on earning trust. That trust created a company culture where employees felt protected and inspired, which led to incredible success.

Chapter 7: Create Your Own Tipping Point

So after you define your WHY and Golden Circle, how do you get your new product or mission to reach more people?

In sum, by 1) understanding that different people will adopt your product at different stages of maturity, 2) finding your early adopters, and gaining a critical mass of them.

This chapter explains both concepts and how they apply to starting with WHY.

Defining the “Tipping Point” and the “Law of Diffusion of Innovations”

To understand the key points in this chapter, we have to define two key terms: the tipping point and the Law of Diffusion of Innovations.

Tipping Point

The term “tipping point” was coined in Malcolm Gladwell’s book, *The Tipping Point*.

According to Malcolm Gladwell, a tipping point is “the point in a situation, process, or system beyond which a significant and often unstoppable effect or change takes place.” (Related terms for this include critical mass and inflection point.)

Tipping points happen when a mass of influencers unite to support an idea or a product.

While tipping points might seem like they happen somewhat spontaneously or by luck, **they can actually be consciously designed** by leveraging The Law of Diffusion of Innovations.

The Law of Diffusion of Innovations

This term was coined by Everett M. Rogers in his 1962 book, *Diffusion of Innovations*. ***The Law of Diffusion explains how innovations--whether they are products, services, or ideas--spread through a population.***

He identifies five key populations of people who, over time, spread an innovation throughout a social system. We’ll dive into these five populations in the next section.

The Five Populations in The Law of Diffusion

The Law of Diffusion identifies five key groups of people who help spread innovations through society. They are:

Group 1: The Innovators

Innovators make up 2.5 percent of the population. These are the people who want to be first, so they chase new ideas and products. They’re most interested in advancing society and changing the world in some way. Innovators are the rarest type of people. Bill Gates, Steve Jobs, and Elon Musk are all innovators.

Group 2: Early Adopters

Early adopters make up 13.5 percent of the population. These people aren’t coming up with new ideas, but they see the value in them, trust their guts, and jump on board right away. These are the people who stand

in line for the new iPhone or have five tablets laying around the house because they upgrade models the day they release.

Group 3: Early Majority

The early majority is a large portion of the population at 34 percent. They're still fairly comfortable with new technologies, but they're more practical than early adopters. Additionally, they're less likely to act on gut instinct, so rationality matters more to them.

Group 4: Late Majority

The late majority, like the early majority, makes up 34 percent of the population. Also like the early majority, they're more practical. However, they're even less likely to make a decision on gut instinct, and even when presented with rational reasons for an innovation, they're much less likely to hop on board.

Group 5: Laggards

Laggards are the type of people who still miss rotary phones. They make up 16 percent of the population, and they're actively hostile toward new innovations. These are the people who are resistant to change.

In the Law of Diffusion, these groups are spread along a bell curve, where the top and bottom groups (innovators and laggards, respectively) represent that smallest portions of the population and the middle groups (the Early and Late Majorities) represent the largest.

In tipping point scenarios, all five of these groups (unconsciously) work together over time to spread an idea until that innovation eventually becomes part of our status quo.

There's one important caveat: **the Law of Diffusion category a person falls into depends on the product.** For example, one person might be an early adopter when it comes to smart watches, but in the late majority when it comes to new fashion.

That's because everyone has different WHYS. Not every product is designed for you, so it makes sense that you would move up and down the Law of Diffusion spectrum depending on the product/service in question.

The Law of Diffusion and Mass Market Success

So how can we use The Law of Diffusion to create tipping points and mass market success? The key is making sure you're marketing to the right population.

Making sure you get innovators and early adopters on your side first is the trick to mass market success. While these constitute just a small fraction of the overall population, they're likely going to be your most loyal customers, and they'll help your product spread to the masses.

How does this work?

- The early adopters of your product or service will jump on board early because they align with your WHY. They join you well before you penetrate the general audience and before you have a broad reputation. They're also willing to endure less-than-perfect products.
- If your product is good, your early adopters will become advocates for your company. They become fervent believers, spreading the message about your product to others.
- Early and late majority people won't jump onboard by their own volition - they need social proof and

need to be reassured before they buy. This is where your passionate early adopters will come in - **they give trusted recommendations to the majority.**

- Once you have enough early adopters and get to a tipping point, it'll start a feedback loop that spreads to the majority.

This raises the question - **how do you attract the early adopters? By focusing on WHY.** You win over people who align with your mission and are willing to tolerate significant cost or inconvenience to join your mission.

Don't Start By Marketing to the Masses

In contrast with this logic, most companies focus on marketing new products to the middle of the bell (the Early and Late Majority). This seems intuitive - this is where the majority of the population falls, so it seems like the most successful place to start marketing.

But this tends not to work. The Majority rarely try a product unless someone else has tried it before them. Since they're risk averse, they want a trusted recommendation before they jump in.

The further you move to the right of the bell curve--toward the late majority and the laggards--the more likely you are to find people who need what you're offering but don't share your WHY. As a result, they tend to be difficult to work with.

You should avoid working with the late majority and laggards: not only will you struggle to get them to see your value, you'll probably never win their loyalty. Instead, start by building a tipping point.

Keep in mind that while most businesses want mass market success, only 2,000 businesses in the United States ever reach a billion dollars in annual revenue. 99.9% of all American businesses have fewer than 500 employees.

But if you want a shot at succeeding in the mass market, you have to use the Law of Diffusion correctly. **You have to focus on reaching the innovators and early adopters if you want to penetrate the market .**

Case Study: TiVo

The term "TiVo" has come to mean the same thing as "recording on a DVR." And yet, despite being well-funded with a great product, **TiVo didn't achieved mass market success because they didn't start with WHY. As a result, they haven't effectively used The Law of Diffusion.**

Instead of telling people the WHY behind their company (which is to give people power over how they watch television), they spent all of their time talking about WHAT a DVR is and what it could do. Furthermore, they targeted the majority with their marketing, rather than the early adopters.

As such a new device, TiVO was difficult to understand the value of until you installed it in your house. But most people never got to that point.

Instead of focusing on WHAT, TiVO should have articulated its WHY - like "We want to empower people who like having control over every aspect of their lives, including when and how they watch TV." This would have attracted the early adopters, who would align with the WHY, try out the device, and understand the value.

Then, the early adopters would have created a tipping point and spread the product to the masses.

Exercise: Start a Tipping Point

Reach the right people to create a tipping point for your new product or service.

In the work that you do, who are the early adopters? Why does your WHY resonate with these people? What would make them become loyal supporters of your mission?

How can you best reach these early adopters?

Chapter 8: The Golden Circle Megaphone

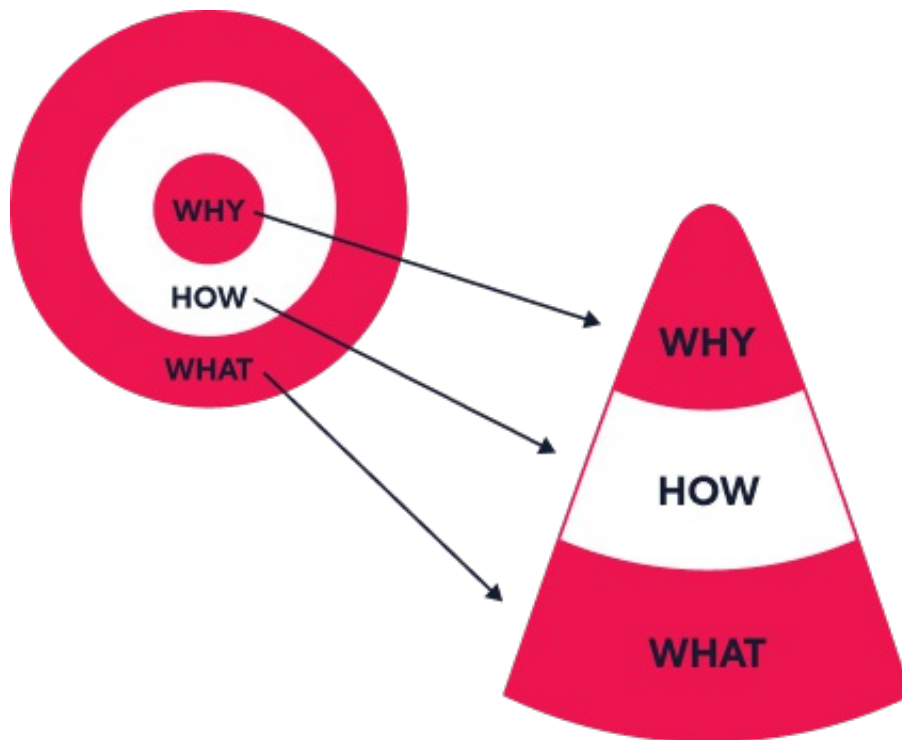
Clarifying your WHY is well and good. But concretely, how do you achieve your WHY? It comes through building your HOW and your WHAT.

Without a strong HOW, inspirational WHY leaders have big ideas but struggle to execute them. An organization needs to be built to support and execute the WHY.

The Golden Circle Megaphone

By now, you know what The Golden Circle looks like: it's a bullseye with WHY in the center, HOW in the second ring, and WHAT in the last ring.

But The Golden Circle does more than help you create your message, it amplifies it, too. **That's because The Golden Circle is actually a cone, just like a megaphone.** Pretend you're looking at the Golden Circle from above:



The cone represents the three levels of a company or organization:

1. WHY at the Top

At the top, or point, of the cone is the WHY. This is the smallest layer of the organization which contains the top-level leaders, like the CEO or COO. These leaders provide the vision of the organization by articulating and living out its WHY.

2. HOW in the Middle

The next level of the cone is the larger HOW section. The HOW is comprised of senior executives whose job it is to translate the WHY for other employees. They create systems, rules, and policies that support the

company's WHY. Without great people in the HOW level, a company with a strong WHY can still fail.

3. WHAT at the Bottom

The WHAT level is where the bulk of the company's employees exist. They're doing the practical, daily work to bring the company's products and services to life. But more importantly, these are the people who interact with customers. If they can't articulate the company's WHY, then customers won't understand it, either.

When you start your message at the top and pass it through your organization, it amplifies—just like it would if it passed through a megaphone. It affects people within your organization, and then the organization uses it to amplify the message to the outside world.

Combining a Charismatic WHY With a Hard-Working HOW

Strong, charismatic leadership that starts with WHY is critical. **But most WHYS need a practical HOW to help translate their vision and passion to rest of the organization.**

WHYs are big-idea optimists who believe all of their ideas are possible. HOWs live in reality and are better at building the processes that bring those bold ideas to life.

WHYs have the vision and imagination needed to change industries, but they often don't know HOW to do it. HOWs have the ability to create change, but they don't have the vision to know what changes to make.

WHY types live in the future, and HOWs live in the present. WHYs are dreamers, while HOWs are practical.

WHY types and HOW types are capable people who can run businesses without the other. **But in order to build a world-changing movement or organization, both need to exist.** Without a strong HOW, inspirational WHY leaders have big ideas but struggle to execute them.

Here are some famous examples of WHY and HOW partnerships that have changed the world:

- **Disney:** Walt Disney (WHY) and Roy Disney (HOW)
- **Apple:** Steve Jobs (WHY) and Steve Wozniak (HOW)
- **Microsoft:** Bill Gates (WHY) and Paul Allen (HOW)

Case Study: Martin Luther King Jr. and Ralph Abernathy

Martin Luther King Jr. and his civil rights movement exemplify the ways WHY and HOW people work together to achieve their common goals.

In this case, while Dr. King was the leader and the WHY behind the push for racial equality, he was supported by Ralph Abernathy, who handled the HOW. Abernathy's job was to help individuals understand what steps they needed to take to be part of the movement. Then King's followers--the people in the WHAT level--hit the pavement to create change.

Great leaders are great because they have a team of excellent HOW-type people. Leaders can keep their sights set on the path ahead while their HOW team figures out how to implement ideas and create an organization oriented around the leader's vision.

And because great leaders are charismatic, they attract incredibly talented HOW types that also believe in their vision.

Don't Confuse Amplification With Volume

Amplification happens when you successfully share your WHY using The Golden Circle. Unfortunately, it's easy to confuse amplification with volume.

Volume comes from a combination of money and publicity stunts. With enough of both, you can create expensive advertising campaigns that keep your message front and center (and the volume cranked up to high). **But volume alone doesn't create loyalty.**

Take, for example, a publicity stunt that happened on the Oprah Winfrey Show in 2004 where Oprah gave a new car to every member of her studio audience. Everyone remembers the stunt, but no one remembers the type of car she gave away: the Pontiac G6.

In the end, Pontiac spent \$7 million dollars to market their car through this publicity stunt, but it quickly faded from memory since the stunt didn't reinforce the brand's WHY. In contrast, people remember the event because **it reinforced Oprah's WHY**, which was to be spontaneously generous to those around her.

Energy Versus Charisma

Similar to volume vs amplification is the idea of energy vs charisma. **While energy can motivate people, charisma is what truly inspires them.**

It's easy to create energy within an organization through manipulations like bonuses or incentives. But charisma is what makes a leader or an organization great. Charisma has little to do with someone's personality or physicality. **Instead, charisma comes from clearly understanding your WHY and living it.** This is magnetic - people are drawn to others who have a die-hard belief in a purpose greater than themselves.

In other words, energy is short-term excitement, whereas charisma comes from knowing your WHY and working toward a goal bigger than yourself. Charisma inspires people, which creates loyalty.

Energy Versus Charisma: Steve Ballmer and Bill Gates

To see the difference between energy and charisma, let's compare two former CEOs of Microsoft: Steve Ballmer and Bill Gates.

Steve Ballmer is known for being high energy. When he makes speeches, he's enthusiastic--he often runs around the stage. (Shortform note: [watch this video](#) for some of Ballmer's conference highlights.) And audiences respond to it! **But energy alone isn't enough to sustain a movement.** It wears off.

Bill Gates, on the other hand, lacks Ballmer's energy. He's soft-spoken, but when he speaks, it's with conviction. **That's because he knows his WHY and believes in it wholeheartedly.** He saw a vision of a computer on every desk in every home, a WHY that resonated with his employees and customers. And today, with his work at the Gates Foundation, he has the admirable WHY of relieving as much human suffering as possible with the resources at his disposal.

So while Ballmer has energy, Gates has charisma. And that charisma comes from starting with WHY.

Case Study: Ron Bruder

Entrepreneur Ron Bruder has had repeated success because of his commitment to starting with his WHY: **his belief that if you show someone an alternative possibility**, it creates the possibility for that idea to be realized.

First, he started Greenwell, a travel company that was one of the first to fully computerize its operation. He grew Greenwell into a multi-million dollar business.

Next, he founded Brookhill, a real estate development company focused on building on brownfields, which are former oil and gas production sites that have long been considered too polluted to develop. While everyone thought brownfields were a lost cause, Bruder's WHY meant that he wasn't willing to accept that answer. Instead, he partnered with engineering firms to figure out how to clean the land through new, innovative techniques.

His latest endeavor is the Education for Employment Foundation. After the terrorist attacks of September 11th, 2001, Bruder realized that terrorism wasn't really a result of hatred. It was the consequence of a lack of opportunity for young men and women in the Middle East, Gaza, and the West Bank.

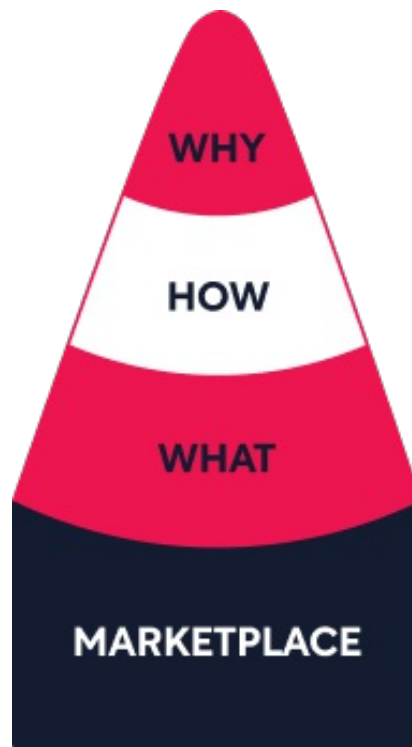
So **while the country was using violence to end terrorism, Bruder saw a different path: education.** The EFE Foundation's goal is to teach these young people the hard and soft skills they need to access opportunities in their countries and abroad.

By sitting at the top of The Golden Circle and using it as a megaphone, Bruder is able to amplify his WHY while trusting those who align with his beliefs to keep the movement going. This is how Bruder is able to repeat his success over and over again across industries.

Chapter 9: Communicating With the Marketplace

Now that you're thinking of The Golden Circle as a three-dimensional cone, it's time to talk about what that cone is sitting on: the marketplace.

The marketplace is made up of all the customers, shareholders, competition, supplies, money, and all the other factors that make an economy work. The marketplace is characterized by chaos and disorganization. While your organization has structure and purpose, the world outside it doesn't.



Getting your message out and into that chaotic space is tough, especially since the only contact your organization has with the marketplace is at the bottom of the cone at the WHAT level. If your WHAT doesn't embody and communicate your WHY, the marketplace won't hear it.

For small businesses, this isn't a huge problem. That's because the company's CEO--the head of WHY--is intimately involved in the company's WHAT, too.

But as a company grows, and there are more HOW and WHAT level employees, the WHY leaders become farther removed from the marketplace. The WHY leaders have less capacity to communicate directly with customers, and become more involved with managing the HOW.

Put another way, as a company grows, the WHY leadership becomes the limbic brain of the company, unable to use language to express its WHY to the marketplace. That purpose is left to the WHAT level, which creates the products, the marketing campaigns, and the customer support functions.

The key, then, **is to communicate your WHY clearly throughout every level of the organization. In doing so, you'll be able to articulate your WHY to the marketplace, too.**

Chapter 10: Good Communication Is About Listening

This chapter explains how an organization--especially a large one--can communicate its WHY to the marketplace effectively.

This centers around two big ideas: the power of symbols and The Celery Test.

The Power of Symbols

A symbol is defined as an object imbued with additional meaning. **It's an object that represents an idea bigger than the thing itself.**

Here are two examples of powerful symbols:

- **The United States Flag:** Literally, the flag is just a few pieces of cloth stitched together. But as a nation, Americans assign powerful symbolic meaning to it. It represents the beliefs of the country—freedom, equality, and opportunity. It's such an important symbol that people will follow it into war.
- **Ronald Reagan's "Hero":** In 1982, Lenny Skutnik was invited to sit in the House chamber during the State of the Union Address. A few weeks earlier, Skutnik had jumped into the Potomac to save passengers after an Air Florida airplane crashed. President Reagan understood the power of symbolism, and Skutnik's presence was a powerful representation of American bravery and values.

All societies use symbols to reinforce their core beliefs. And the stronger the core belief, the more powerful the symbol.

Logos: The Symbols of Business

Logos are a visual object that identify a company, but they can also be symbols of what a company stands for.

Unfortunately, most companies don't use their logos this way. Instead, companies act like dictators, telling customers who they are, what they do, and why we should be loyal to them. And like dictators, these companies manipulate people into following them. In these cases, company logos are just a way to communicate the business's name, not to share their meaning.

In order to work as a symbol, a logo--and the company behind it--must be inspirational. **The logo has to tell people something about the company *beyond* what they sell: it has to symbolize the company's beliefs.**

Take the Harley-Davidson logo, for instance. The logo isn't just a motorcycle brand anymore. It represents more than that: it symbolizes an outlaw mentality. The logo is so meaningful that merchandising makes up 12 percent of the company's revenue.

The major takeaway for businesses is this: symbols are another way to amplify your message using the Golden Circle megaphone, because they can quickly and easily communicate your WHY.

The Celery Test

Trying to communicate your WHY effectively and make decisions in accordance with WHY can feel

overwhelming. That's why Sinek developed the Celery Test, **a heuristic to determine what communications "best practices" really are the best practices for your business.**

Here's how the Celery Test works: imagine you're starting a new health food store. Your WHY is to sell foods that are healthy and improve people's well-being. You go to a dinner party where people give you advice about your new health food store. One person approaches you and tells you that you need more M&Ms, another person suggests adding celery instead, and a third person tells you to buy Oreos.

All of these people are successful and give good advice, so it's tempting to go right out to the supermarket and buy exactly what they recommended. But that will result in purchasing an armful of mismatched products which might not add value to your organization.

The better tactic is to go into the grocery store knowing your WHY. If the WHY of your health food store is to make sure people have access to healthy food, then the answer is obvious - you don't need M&Ms or Oreos, but you buy the celery. In essence, **the Celery Test acts as a filter to whittle down all the possible options into only the few that support your WHY.**

Case in point - celery being the right answer was probably obvious to you when you first read the scenario. That's the magic of a clear, concise heuristic - it makes decision making easy, because you know what decisions align with your WHY, and which ones don't.

The Celery Test works for both short-term and long-term decisions:

- **Short-term decisions.** Sometimes you have to make decisions that don't align with your mission. It's the equivalent of eating a piece of chocolate cake when you're on a diet: you know that it's not in line with your WHY, so you understand it's just a temporary fix. The Celery Test, then, can help you keep these types of short-term decisions to a minimum and help you adhere to the path to a better, long-term solution.
- **Long-term decisions.** Sometimes, the long-term decision you need to make seem scary or require a lot of investment, like opening new locations or creating a new product. But if those tough decisions pass The Celery Test, it gives you the confidence to dive in.

Other advantages of The Celery Method include:

- spending less time at the metaphorical supermarket (you know what you need)
- getting value out of your investments (they're right for your company)
- showing your WHY through your actions (making decisions that align with your beliefs)

Obviously, not every company or organization is looking for healthy foods. But every organization should have a WHY. That's what makes The Celery Test--which puts your WHY front and center--a great filter for your decision-making process.

Because of its simplicity, **the Celery Test scales well to fit your entire organization.** For people who create the HOW and people who execute the WHAT, knowing a clear, simple WHY makes decision making easy for them on a day-to-day basis.

Examples of Celery Tests

Here are two examples of companies that have passed (and failed) The Celery Test:

Disney: Disney's strong WHY is to produce family friendly entertainment. This WHY is apparent to all its audience members and has been demonstrated over decades of discipline and consistency. Because of

that, parents rarely worry about taking their kids to Disney movies or buying Disney products. Disney passes the Celery Test of whether its products are family friendly.

Volkswagen: Volkswagen is a company known for its friendliness to people, mass appeal, and hippie ideals (picture the VW van common in the 1970s). In 2004, they introduced the Phaeton, a \$70,000 luxury car. The problem? Volkswagen's WHY was making great cars for everyday people. The product didn't align with their WHY, so it didn't succeed. Had they used the Celery Test, they could have ruled out the Phaeton as incompatible with their mission.

- In contrast, Toyota created an entirely new brand, Lexus, to create luxury cars.

Chapter 11-12: How Success Separates You From WHY

So far, the book has covered how to take a company or organization without a clear WHY and put it on the right track. But what happens when a company has a WHY—but has lost it along the way?

How Success Can Negatively Affect Your WHY

Top executives and business owners have a common problem. When they were asked whether they felt successful, 80 percent of attendees said no. They all felt that as they became successful, they lost the thing that made their business special.

The pattern: **although these leaders knew WHAT they did and HOW they did it, they'd become disconnected from their WHY.**

The biggest hurdle any company will face is success. That definitely sounds counterintuitive, doesn't it? After all, isn't success the *goal* behind starting with WHY?

The problem is that as a company grows, leadership becomes more removed from the company's messaging. In terms of the Golden Circle, when your company grows, the rings of the Golden Circle get wider, which moves the leader with the passionate vision further away from making every decision for the company.

When that happens, it's easy to shift focus from WHY to WHAT—and before you know it, WHY starts coming last. Sinek refers to this as “the split,” which he says happens to many successful companies.

That's why success—or at least, success that makes you lose sight of your WHY—can have **negative ramifications on even the most successful company**, like:

- Having your WHY's clarity become cloudy—or worse, non-existent
- Losing your motivation/inspiration
- Employees feeling like work is “just a job,” not a mission.

Think of it this way: the growth of a company is usually measured by your WHAT. As your WHAT increases, your company grows. That makes your “megaphone” louder—but without sticking with your WHY, your message gets muddy.

Eventually, your communication with your customers isn't inspirational. It's just noise.

Case Study: The Problem With Walmart

When Sam Walton founded Walmart in 1962, he had one core belief: if he looked after people, then people would look after him *and* his company. Sam Walton believed in the power of community. That philosophy is what led Walmart from its humble beginnings as a mom-and-pop shop in Arkansas to become the biggest retailer in the world.

As the company grew, Sam Walton stayed committed to his WHY. But when he died, the Walmart became disconnected from its WHY. Instead, executives began to focus on HOW the company did

business: selling products at low prices.

But in the process, it sacrificed how it treated people. As a result, Walmart has faced scandal after scandal over treating employees poorly, and it owes hundreds of millions of dollars in settlements.

Competition and changing economy isn't what's hurting Walmart: Walmart has become its own worst enemy because its success has disconnected it from its WHY.

The School Bus Test

To counter the problem of losing your WHY, use the School Bus Test: **if your CEO was hit by a school bus tomorrow, would the organization continue to thrive?**

- If yes, that means the founder's WHY has been embraced by the company from the top down. Even without the CEO, the mission remains clear.
- If not, that means your WHY is too dependent on the CEO's presence. Without a clear legacy of WHY, the organization will eventually split into WHAT, which will erode the company's competitive edge.

Strong, inspirational leaders like Steve Jobs, Bill Gates, and Sam Walton do more than just share their company's values: they embody them and maintain discipline throughout the organization. So when those leaders are gone, the company runs the risk of moving into the split. **In other words, a change in leadership is a good time for the company to lose sight of its WHY.**

Unfortunately, this is a common issue. Here are three examples of companies that haven't planned for succession, and as a result, have gone through the split:

- **Walmart:** After founder Sam Walton died, the company stopped working on being a part of the community and instead focused on selling goods at low prices.
- **Microsoft:** When co-founder Bill Gates stepped down, Microsoft stopped being a company out to change the world, and instead became a software company.
- **Starbucks:** With the exit of founder Howard Shultz, Starbucks stopped being the "third space" for people to meet and exchange ideas. It became a premium coffee shop instead.

Plan Smooth Successions

Since the WHY usually comes from the company's founder, it's important to plan for a smooth succession that keeps your WHY intact when he or she eventually leaves.

In order to make the transition successful, **the original founder needs to make their WHY as clear as possible.** They have to leave a clear cause/belief for their successor to champion. Without that, the next leader is more likely to focus on the company's WHAT.

Successors to influential leaders need to be picked based on their belief in the company's WHY, not necessarily their skills or current position. If the new leader can't communicate the company's vision and values clearly, then the employees in the organization won't be able to, either.

Chapter 13: Where WHY Comes From

In this chapter, Sinek reinforces the process of following WHY by tracing it through three examples: Apple, the English longbow, and his own journey to becoming a mentor and coach.

The Apple Journey

Apple has put WHY first since its inception. When Apple first started, Steve Wozniak and Steve Jobs saw the company as a way to give individuals power.

At the time, companies held a monopoly on computing, and Jobs and Wozniak believed that by empowering individuals with computing power, they could change the world. Igniting revolutions by empowering people became the company's WHY!

Just like the company, all of Apple's products and their launches have started with WHY:

- **The Blue Box:** While this product never made it to shelves, The Blue Box was designed to help people avoid paying long-distance rates on phone bills, which were exorbitant in the 1970s. Although the product was definitely illegal, it certainly embodied their belief in empowering people to take on corporate forces.
- **The Apple I Computer:** Launched in 1976, Apple entered a market that was dominated by IBM. But instead of giving corporations the tools to maintain power like IBM, Apple put computing power in the hands of individuals. Now people and small businesses had the same computing ability as the big guys.
- **The Macintosh:** In 1984, Apple developed the first computer to ever use a graphical user interface, or GPU. Now, anyone could use a computer--you didn't need special training or a degree in computer science to make one work. Once again, Apple empowered the individual.
- **iPod, iTunes, and the iPhone:** Each of these devices challenged the status quo, whether it was in the music industry, telecommunications industry, or in personal electronics. Apple pushed the envelope, and in doing so, gave individual consumers more freedom to use their products *their way*, not how companies told them to.

Apple's constant commitment to their WHY has created incredibly loyal employees and customers who are drawn to their beliefs.

Note, not everyone is--even though Apple is a leader in the industry, they only hold about 2.5 percent of the personal computer market share. But starting with WHY isn't about converting *everyone*.

And yet, Apple is still one of the most valuable tech companies in the world. And it all comes from **pursuing the company's values and vision in everything they do**.

The English Longbow

Here's a different example that shows how starting with WHY a) has always worked and b) is effective outside of business, too.

In 1415, King Henry V of England was marching into the Battle of Agincourt, one of the deciding battles of the Hundred Years' War between England and France. Henry had already lost 40 percent of his troops, and

he was about to square off against a much bigger, much healthier French army.

And yet, the English one because they had one piece of technology the French didn't: the longbow. Archers could stand out of range of French artillery and still deliver devastating volleys of arrows onto the battlefield. The longbow created a tipping point.

But the arrows and bows themselves weren't the tipping point: it was the arrow's momentum.

And yet again, the momentum doesn't come originally from the arrow flying forward--the momentum develops when the arrow is pulled backward and cocked into place.

The same thing applies to a company or organization, too. While it's tempting to look forward and planning out how to get there, the power of WHY comes from looking *inside* your organization and figuring out your beliefs first.

And that starts with you.

Sinek's Journey to Why

Finally, Sinek shares his own experience and how he got to WHY in his personal life and his career.

He explains that in 2005, he found himself struggling. He'd founded his business in 2002, even though he knew that 90 percent of new businesses fail in the first three years. But he wasn't deterred.

Over the next three years, his company stayed afloat and even succeeded. Sinek thought they beat the odds.

But the fourth year was a different story. The novelty of running a business had worn off. **He'd lost his passion and his WHY, which left him demoralized and depressed.** Imposter syndrome set in, and Sinek became convinced he was a failure.

It took meeting Victoria Duffy Hopper, who explained the limbic brain and neocortex to him, to change his perspective. Suddenly, Sinek realized why people do what they do—which is the secret behind effective marketing. In that moment, he rediscovered his WHY.

From there, he made sure that his WHY motivated all of his business decisions. Sinek went from worrying that he was failing to speaking about The Golden Circle and WHY all over the world. **But more importantly, he explains that the only thing he changed was his mentality.** By starting with WHY, he not only recaptured his own passion, he found himself in a position to inspire others, too. WHY has been Sinek's path to success, and now he's sharing it with you.

Chapter 14: Rethinking Competition

The common sentiment when it comes to building a business is that you have to make sure you're beating the competition.

But the problem with that idea is that it makes you focus on what other companies are doing rather than steering your own. Instead of competing against others, it's more effective to compete against yourself.

Here's an anecdote of Ben, a high school cross-country track runner. He was the slowest on his team because Ben was born with cerebral palsy. Running was hard for Ben, but he pushed himself to finish each race. His WHY was to challenge himself to do better every race.

His teammates, all faster than he, support his WHY. After every race, they come back onto the track to run beside him to the finish line.

This story reminds us that **when you compete against yourself and no one else, other people--even those who others might identify as your competitors--want to help you.**

Companies and organizations that focus on WHY are more concerned with pushing their companies forward than going head-to-head with the competition. Starting with WHY makes you laser-focused on your own mission, not the missions of others.

And that leads Sinek to make his final point as he sums up the impact of starting with WHY. When you start with WHY:

- You make smarter decisions more quickly
- You foster optimism, creativity, and loyalty within your employees
- You create loyalty and trust with your customers
- You inspire others and become an innovator in your industry

In other words, starting with WHY can change more than just your own life and business. It can change the world.